

CDNL pitch deck

PITCH — CDNL — VERDICT

PROPOSED — PENDING ADJUDICATION — No position and no order at \$43.50; both benches land FLAT, and the only entry either would defend is a gated starter at or below the insiders' own buy price ($\leq \$36$, red's looser version $\leq \$38$), conditioned on the Q3 print.

What we believe

Cardinal Infrastructure Group (CDNL) is a civil site-work and paving contractor built by acquisition — it grades land, lays pipe, and paves for homebuilders, developers and municipalities, mostly in North Carolina and Georgia. It went public on 2025-12-11, sold more stock on 2026-06-24 at \$73.00 raising \$319.0M, and seven weeks later cut its profit-margin outlook. The stock is \$43.50, down 54.9% from its 52-week high of \$96.40 and up 97.9% from its low of \$21.98.

Our belief, after both benches finished, is narrower and less dramatic than where we started:

- 1. The margin damage is real but smaller than the crash implies, and it is concentrated in the legacy business, not the acquisitions.** The company raised its revenue outlook from \$665–678M to \$880–900M while cutting its margin outlook from “20%+” to 16–18% ([Q2 PR, 2026-08-11](#)). Do the subtraction: the *added* revenue is being guided to carry only about 3–13% profit margin (~7.8% at the midpoints), against management's own statement that the newly-bought Allied Paving runs at 20.3%. If the acquisitions really are that profitable, then arithmetic forces the entire cut onto the original business — implying roughly 16.4% there versus the “20%+” claimed, a ~360bp cut to the core.
- 2. The “roll-ups dilute margin” defence does not hold up against this company's own record.** FY2024 was 17.9% and FY2025 was 17.9% — identical — on revenue that grew 45% through heavy acquisitions ([FY25 PR, 2026-03-19](#), \$456.0M revenue / \$81.5M adjusted EBITDA). They absorbed a year of deals with zero dilution. So “mix” is not a sufficient explanation for what happened this year.
- 3. Cash generation is being flattered by paying suppliers late.** First-half operating cash flow was +\$22.0M, but the change in accounts payable alone contributed +\$39.6M. Strip that out and operating cash flow was **–\$17.7M**, versus +\$9.3M on the same basis a year ago. After \$34.0M of equipment spending, free cash flow was **–\$12.0M**. Site-work contractors stretch their subcontractors before they admit to a schedule problem.
- 4. The cash on the balance sheet is not free cash — it is acquisition currency.** \$339.1M of cash sits against \$133.4M already spent on deals in the first half and roughly \$120M committed to Allied Paving in October (\$62M cash + \$58M stock).
- 5. The company raised equity at \$73.00 six days before the quarter closed, then cut guidance seven weeks later.** That is now under plaintiff-firm investigation ([Hagens Berman](#),

[2026-08-14](#)). Our standing rule is that a name with an unresolved integrity question can never be paid full fair value for.

6. **There is a large, structural supply of stock waiting.** 27,044,449 Class B units — 57% of the company — are held by pre-IPO owners and convertible into ordinary shares. The IPO lockup expired and the follow-on priced 195 days after the IPO, immediately afterwards. Separately, each conversion creates a new payment obligation to those same holders under a tax-sharing agreement; that obligation has already grown from \$39.4M to \$47.2M in six months and is left out of most published valuations of the company.

Net: this is a cheaper-than-it-looks business with a real, quantified profit problem in its core, a stretched working-capital position, and an unresolved question about what management knew when it sold stock. We do not think it is uninvestable. We think it is not investable *at this price*.

What the market believes

The market cut the stock roughly 26% on the guidance day and 55% from the high. The prevailing narrative is: a hot infrastructure IPO oversold its margins, the roll-up is buying lower-quality revenue, the raise was opportunistic, and litigation risk is now attached. Insiders bought 34,000 shares on 2026-08-14 at \$36.59 and \$37.73 — genuine open-market purchases, not pre-scheduled — and the stock has since traded up to \$43.50, which suggests some buyers read that cluster as a floor.

We could not find a published analyst estimate for second-half or full-year 2026 profit with a range attached. Both benches tried and failed. CDNLIPO'd with an underwriting syndicate, so coverage almost certainly exists; this is a retrieval failure on our side, not proof of an absent consensus. Until we close it, **neither we nor anyone here may claim “the market is wrong”** — we have no external number to be different from.

Why we might have edge

- **The incremental-margin subtraction.** Nobody in our evidence record — not the company's presentation, not the plaintiff release — computes the profit margin on the *added* revenue. It is one subtraction, and it converts a vague “mix” story into a specific ~360bp cut to the original business. This is the strongest original piece of work in the whole court.
- **The two-year flat-17.9% record as a rebuttal.** The mix defence is refutable from the company's own prior filings, and we found the refutation.
- **The supplier-payment stretch, correctly located.** Our first attempt blamed the wrong line item (unbilled work) — and when we scaled it to revenue, that tell vanished (8.3% of revenue vs 7.6%, essentially unchanged). The real stretch is on the payables side (10.1% of revenue vs 3.8%). Getting the mechanism right matters, because it tells us what to watch next quarter.
- **Counting the tax-sharing obligation in the valuation.** \$47.2M of it, compounding, excluded from every enterprise value in the record except ours.

- **Sizing the insider buy honestly.** \$8.5M sounds like conviction until you note it is ~0.7% of the same insiders' ~\$1.18B of untraded stock.

Why it might be priced in

- **The stock already fell 55%.** Two of our surviving objections — “roll-ups dilute margin” and “they raised money before bad news” — are exactly what the tape has been pricing for two weeks. Those are consensus observations, not edge.
- **At the company's own guidance the multiple is not demanding.** Enterprise value \$1.982B against guided profit of \$140.8–162.0M is **12.2–14.1x**. Cheap-ish for infrastructure services, if you believe the guide.
- **The 16–18% guide may not be a real cut at all.** “20%+” was never an achieved number — the company printed 17.9% in both public years. The new range brackets what it actually does. The market may have punished the loss of an aspiration.
- **The second-half hurdle is smaller than the headline suggests** (see the table — our own bench got this wrong first). Against last year's second half at 17.6%, the low end of the guide requires roughly no year-over-year improvement at all.
- **Insiders bought, and they did not sell into the June offering** — that deal was primary, i.e. new shares from the company, not insider stock.

What we checked ourselves

Claim	How checked	Found	Confirmed?
“Second half needs a +530 to +880bp margin step-up” (our own opening brief)	Pulled FY25 primary PR, backed out first half, derived second-half 2025 actual	Our brief compared a half-year to a single weather-damaged quarter. Second-half 2025 was 17.6%; the guide requires 17.7–21.2%. On a like-for-like basis the ask is 0 to +360bp , not +530/+880bp	NO — our error, struck
...but is the corrected version therefore benign? (our red bench's follow-on inference)	Re-ran the comparison on both halves	Red fixed the denominator and then forgot to re-run the comparison. First-half 2026 was –430bp year-over-year; the guide needs +10 to +360bp year-over-year in H2 — a +440 to +790bp swing in the trend. The brief's magnitude survives; its arithmetic did not	Partly — red's correction stands, red's conclusion does not
Prior revenue guide was \$680M	Fetches the March guidance PR	Both benches were wrong. The March guide was \$665–678M at “20%+”	NO — both benches erred
First-half gross margin 10.8% vs 13.9%	Q2 PR	Those are the Q2 figures. First half was 12.5% vs 13.1%	NO — our brief mislabelled a quarter as a half
“Classic unbilled-work tell in cash flow”	10-Q cash flow statement, scaled to revenue	Contract assets 8.3% of revenue vs 7.6% — basically unchanged. The standard tell does not fire	NO — mechanism wrong; the real stretch is payables

Claim	How checked	Found	Confirmed?
Payables-funded operating cash flow	Same statement	Change in payables +\$39.65M = 10.1% of revenue vs 3.8%; operating cash flow excluding it –\$17.7M vs +\$9.3M	YES — magnitude unverified (nobody computed days-payable on cost of sales, which is the discriminating test when revenue doubles)
Free cash flow	10-Q	Capex \$33.99M for the half (our brief cited only the quarter's \$24.7M) → FCF –\$11.99M	YES — after correcting our own understatement
Enterprise value	10-Q balance sheet	47.473M sh × \$43.50 = \$2.065B, +\$197.0M debt, +\$47.16M tax-sharing liability, +\$12.30M earn-out, –\$339.1M cash = \$1.982B (our brief said \$1.93B — it omitted the tax obligation)	YES — corrected upward
Share count / dual-class artifact	10-Q cover	Class A 20,428,610 + Class B 27,044,449 = 47,473,059 . No double-count	YES — clean, brief was right
Insider buying	Primary Form 4 (accession 0001213900-26-090858)	Open-market purchase code, no pre-scheduled-plan box: 27,000 @ \$36.59 and 7,000 @ \$37.73 on 2026-08-14. Per-person attribution still comes from an aggregator — the filing renders the signer as attorney-in-fact	YES on the buying; attribution unverified
“The second half is being staffed, so the guide is credible”	Job-posting counts	Overtaken. Postings 6→12→27 (Jun→Aug) is the shape a job board produces when it expires old listings — it looks like acceleration even when hiring is flat. Also, the Charlotte data was a different company in Charlotte, Arkansas	NO — artifact; and red rebutted a claim nobody actually made
Allied Paving cost	Q2 PR	~\$120M (\$62M cash + \$58M stock, ~1.3M new shares) — our red bench described it as a \$62M item	YES — corrected upward
Was the June offering insider selling?	424B4	No — it was primary (company) stock. Red omitted this mitigant	Correction in the company's favour
Is there a street estimate to compare against?	Web search, both benches	Could not retrieve one. Reported, not skipped	NO — largest open gap

PROPOSED ENTRY BANDS

The courts say no entry here. These are the reopen conditions, taken from the benches' own arithmetic.

No buy at \$43.50. You would be paying 15–19% above the only informed bid in the record (the insiders at \$36.59–\$37.73), five sessions after they bid.

Reopen band — primary (blue bench, the stricter): limit ≤\$36.00, i.e. at or beneath the insider basis rather than at the top of it, **and both** of the following true at the Q3 report: - Q3 adjusted profit

margin $\geq 15\%$ - Accounts payable **back under 6% of revenue**

Reopen band — looser (red bench): $\leq \$38.00$ on valuation alone. We flag the disagreement rather than splitting it: red's is a price-only gate, blue's adds the two operating conditions. **We propose blue's.** Red's own conviction that FLAT beats a gated starter was only 4/10, so it is not a strong dissent.

For scale, at those levels the enterprise value falls to roughly **\$1.63B at \$36** and **\$1.72B at \$38** (our arithmetic, from the bench inputs), i.e. $\sim 10.8x$ and $\sim 11.4x$ the midpoint of company guidance, or $\sim 14.8x$ and $\sim 15.6x$ on our lower organic estimate of $\sim \$110M$.

Do-not-enter conditions (either bench would abandon the name, not just the band): - Q3 adjusted margin **below 15%** — that breaks the 17.6% prior-year second-half baseline and makes the problem structural rather than seasonal - A second quarter of payables above 9% of revenue *with* receivables above 8% — that turns a data point into a liquidity concern - Any 8-K disclosing a covenant amendment on the October 2025 credit facility - The ALGC purchase-accounting adjustment (10-Q Note 3, the restatement context dated 2026-02-18 — **still unread**) turning out to have written *down* acquired backlog or customer relationships, which would mean the acquired-margin story was mismarked at closing

Toward the bull side: a Charlotte project-restart disclosure with dollars attached, plus Q3 gross margin $\geq 13.9\%$.

Sizing. Starter only, no adds before the Q3 print. **Neither bench put a percentage on “starter” — that is a gap.** Our proposal, stated as our assumption and not theirs: **0.5% of book at first fill, 1.0% maximum in the name.** The standing rule for a name with an unresolved integrity question caps what we may pay at $0.85\times$ expected fair value — **but neither bench published a fair-value point estimate, so that cap cannot currently be applied arithmetically.** The price gates above are doing the work the cap is supposed to do. Closing the fair-value number is an open assignment.

Catalyst dates: - 2026-11-12 — Q3 report. UNCONFIRMED. Derived from a data vendor; no company release names it and the investor-relations page timed out for both benches. ~ 57 trading days out. This is the decisive date for both reopen conditions. - **October 2026 — Allied Paving expected to close** ($\sim \$120M$; \$62M cash leaves the balance sheet, $\sim 1.3M$ shares issued). Exact date not disclosed in our record. - **2026-10-15 — our own hiring re-scan**, comparing *open requisitions* (baseline: Raleigh 50 open reqs as of 2026-08-21), not monthly posting counts, which we now know are an artifact. - **Undated but live:** conversion of any part of the 27.04M pre-IPO units into ordinary shares — new supply, and a new increment to the tax-sharing obligation each time.

ARMED SENSORS

(armed provisionally with this deck; session adjudication ratifies)

- price alert: fires below 30.0 (deck-provisional: Deterioration watch: a break well under the informed insider bid implies the market is pricing the str)

- filing watch: 8-K,10-Q until 2027-02-17 (deck-provisional: Q3 2026 results: test the two reopen conditions - adjusted EBITDA margin $\geq 15\%$ and accounts payable ba)
- dated pack CDNL|2026-11-12: CDNL: Q3 2026 report - decisive for both reopen conditions. Vendor-derived date, no company release names it. (date confirmed=False)
- dated pack CDNL|2026-10-31: CDNL: End of the stated October window for the Allied Paving close; exact date not disclosed in our record. (date confirmed=False)
- dated pack CDNL|2026-10-15: CDNL: Desk hiring re-scan, entity-matched to Cardinal Civil Contracting LLC, comparing OPEN REQUISITIONS (baseline Raleigh 50 @ 2026-08-21),

What remains unverified

1. **No external estimate to compare ourselves against.** We could not retrieve a published second-half or full-year 2026 profit estimate with a range. Our lower number (~\$110–124M) therefore has nothing to be measured against. This caps confidence in the whole exercise and forbids any “the market has this wrong” framing.
2. **The 2025 quarterly split is not public.** We know the second half of 2025 averaged 17.6% but not whether that was a strong Q3 and weak Q4 or the reverse. So the claim “Q3 only has to avoid repeating Q2” is **unproven** — it may be an easy comparison or a hard one.
3. **The payables stretch is real but unsized.** On revenue that roughly doubled, the correct measure is days-payable on cost of sales, not payables as a share of revenue. Neither bench computed it. Acquired companies’ payables also enter the cash-flow statement only after closing, which muddies the comparison.
4. **The insider purchase attribution** (\$8.54M total, \$38.54 average) comes from an aggregator. The primary filing we read shows an attorney-in-fact signature; we verified the transactions, not the person.
5. **The Q3 report date is a vendor guess.**
6. **The management explanation — severe Georgia weather — is ungraded.** We have no site-level rainfall or job-site data and no tool in our kit that reads it. The one connector that matched on “weather-dependent demand” reads snowpack at ski resorts. Reported as a coverage gap.
7. **No job-site or asphalt-plant location is disclosed**, so every satellite-imagery, thermal, and workplace-safety check is unrunnable. The asphalt plant is the largest unquantified item in management’s second-half bridge and we cannot independently confirm it exists as an operating site.
8. **No permit data exists in our kit for Wake or Mecklenburg County, NC** — which is exactly the feed that would test the Charlotte restart question directly.
9. **Two assignments remain unopened:** the ALGC purchase-accounting adjustment note, and the pre-IPO payout question.
10. **No fair-value estimate has been published by either bench**, so the $0.85\times$ cap on what we may pay is currently unenforceable as arithmetic.

Financial-statement figures above are from the 10-Q filed 2026-08-12, accession 0001193125-26-345109 (CIK 2079999), retrieved via proxy after direct SEC access was blocked — a fetch method that should be re-verified against EDGAR before any order is staged.

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